SUBJECT: Budgeting

RELATED DOCUMENTS

KUP 6500 Fixed Assets.

SECTION 1 POLICY STATEMENT

1.1. Budgets are prepared on an annual basis before the start of the financial year and are approved by the Board of Trustees of the university. The budgets are monitored against the actual income and expenses for the corresponding period.

SECTION 2 SCOPE AND APPLICABILITY

2.1. This policy document applies to all faculty and staff at Khalifa University of Science and Technology who are responsible for managing the university's financial resources to achieve the universities strategic and operational objectives.

SECTION 3 PURPOSE

3.1. The purpose of this policy is to ensure accurate and timely preparation and review of the university's budgets in order for budget managers to plan and control the total financial resources available and the expenditures of these resources.

3.2. This policy pertains to the budgeting activity within the university. Budgets are the estimates/forecast of the university's income and expenses. The budgets facilitate planning, monitoring and controlling of income and expenses of the university. In this regard, the following aspects of the budgeting process are covered herein:

- Budget Preparation and Consolidation;
- Budget Amendments; and
- Budget Monitoring & Reporting

SECTION 4 DEFINITIONS

The following definition(s) apply to this policy document:

4.1. **Responsibility Centre (RC):** The responsibility center is the key budget management and decision-making unit.

4.2. **Strategic Initiatives Budget:** This budget provides the management with the estimation of the cost/expenses that will be incurred in the implementation of strategic initiatives of the university.

4.3. **Revenue Budget.** The Operating Revenue Budget covers any revenue related to activities performed by the units/departments of the university. It include government grants, income from research contracts or research grants, student education sponsorship, tuition fees, etc.

4.4. **Operating Budget** This budget is an estimate of recurring annual operational expenses (direct & indirect expense) of each RC.

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4.5. **Capital Budget** This budget provides an estimation of expenses to be incurred for procurement of fixed assets and undertaking new asset development projects.

SECTION 5 PROVISIONS AND GUIDELINES

5.1 *Budget Preparation and Consolidation*

5.1.1 The budget shall be prepared on a calendar year basis, which shall be applicable from 1st January through 31st December.

5.1.2 The Budget Committee shall initiate the budget planning process and establish the priorities, guidelines and timetable for the preparation of the budget.

5.1.3 Institutional Research and Planning, which reports to the president's office, is responsible for the preparation of the strategic plan for the University and the associated strategic initiatives budget. The department presents this to the Budget Committee after approval from Board of Trustees for integration into the consolidated university budget.

5.1.4 Responsibility Centres (RCs) shall be responsible for preparation of the Operating Expense Budgets and Capital Expense Budgets.

5.1.5 Budgets shall be approved in accordance with the Delegation of Authority.

5.2 *Budget Amendments*

5.2.1 Any amendments to the approved budgets shall be reviewed and approved as per the Delegation of Authority.

5.3 *Budget Monitoring and Reporting*

5.3.1 The heads of the RC's are responsible for monitoring their budgets and controlling their variances.

5.3.2 The approved budgets shall be the basis for reporting and the variance reports are provided on-line and updated monthly or quarterly.

5.4 *Budget Development and Budget Committee*

5.4.1 The president is responsible to the Board of Trustees for the preparation of the annual budget.

5.4.2 The budget should be aligned and reconciled with:

- The university mission statement;
- Applicable university and government budget policies, procedures, rules and regulations;
- The university strategic plan;
- University priorities and goals;
- Enrollment trends and projections;
- Program demands;
- Available funding sources;
- Required service levels and staffing requirements;
- Available information on programs and units;
- Equitable distribution of resources among divisions;

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- Cost/benefits, efficiencies, and economies of scale; and
- An open and consultative budget development and planning process.

5.4.3 The purpose of the Budget Committee is to advise the president on budgetary matters and to recommend to the president a budget for presentation to the Board of Trustees. More specifically, the role of the Budget Committee is to:

- advise the president on budget policy and financial planning;
- recommend enrollment targets and funding levels;
- recommend principles, policies, and procedures to address budgetary issues;
- advise on significant disparities or imbalances between and among budgetary units and recommend remedial adjustments;
- recommend to the president a budget for presentation to the Board of Trustees.

5.4.4 Guiding Principles for the Budget Committee are:

- *Upholding the Mission*: Budgetary decisions should be based on a firm understanding of how they contribute to further the university mission.
- *Encouraging Excellence*: The highest standards shall serve as the benchmark in determining budget goals and allocation recommendations.
- *Supporting the System*: Resource allocations shall be in the best interest of the university as a whole. Each member of the Budget Committee has a continuing individual charge to serve as a representative of the entire system and to avoid behaving as a partisan advocate.

5.4.5 The Budget Committee shall comprise of members, as approved by the President.

5.4.6 The timelines for meetings of the Budget Committee shall be guided in the following manner:

- The Budget Committee shall meet to initiate the Budget Plans in accordance with the defined timelines;
- Any subsequent meetings shall be initiated by the Budget Committee on a need basis;
- On completion of the consolidated budget, the Budget Committee shall review the budget and provide its recommendations.

SECTION 6 RESPONSIBILITIES

6.1. The Vice President of Finance and Business Development is responsible for the implementation of this policy document and its provisions.

SECTION 7 REVIEW STATEMENT

7.1. This policy document is reviewed once every four (4) years, or when special circumstances dictate a review.

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SECTION 8 APPROVAL AUTHORITY AND REVISION HISTORY

This policy document has been approved by the Khalifa University of Science and Technology's Board of Trustees. Original documentation is on file in the Office of the President. The online version is definitive.

First disseminated by the Office of the President on 01 January 2018
Most Recent Review: 01 January 2018
Revision History:

Revision No.	Effective Date	Description
2		
1		
0	01 January 2018	Policy document first adopted.

Next scheduled review: 01 January 2022

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